Since 1990, however, the tide has reversed, and China has come to occupy an even more dominant global position than Tokyo could have imagined at the height of its postwar prominence. If international power can crudely be conceived of as a three-legged stool, comprising political influence, economic dynamism, and military strength, then Japan fully developed only its economic potential after World War II, and even then lost its position after a few decades. Beijing, meanwhile, has come to dominate international political forums while building the world's second most powerful military and becoming the largest trading partner of over one hundred nations around the globe.

Yet while one is "ranked" above the other, in comparative terms, both China and Japan today are wealthy, powerful nations. China has the world's largest economy by purchasing power parity measures, while Japan's per capita GDP is nearly four times the size of China's, at US$39,000.[2] Each is also guided by the strongest leader in at least a generation, both coming to power in 2012. Xi Jinping has become the most powerful Chinese ruler since Deng Xiaoping and possibly Mao himself, reorienting Chinese Communist Party (CCP) ideology to focus on himself as the "core" or "party center," and enshrining "Xi Jinping Thought" in the Chinese constitution. Meanwhile, Shinzo Abe will become Japan's longest-serving prime minister since World War II, and has pushed through a wholesale reorientation of Japan's security and foreign policies while overseeing significant economic reform. Indeed, though China has been the focus of global headlines for its modernization, despite nearly a generation of economic doldrums, Japan remains the world's third-largest economy. It also spends roughly $50 billion per year on its military, boasting one of the world's most advanced and best-trained defense forces. On the continent, with its audacious Belt and Road Initiative, free-trade proposals, and growing military reach, China is widely considered the world's second most powerful nation after the United States. This rough parity is new in Japan-China relations and has been perhaps the single greatest, if often unacknowledged, factor in their contemporary relationship. It is also the spur for the intense competition the two are waging in Asia.